

Unconscienability in Arbitration Agreements

In **Trout v. Organización Mundial de Boxeo Inc.** The U.S. Court of Appeals invalidated an arbitration agreement on the ground that it was unconscionable. It was held that the unilateral appointment of the arbitrator was unconscionable because it gave the World Boxing Organization an unfettered discretion to choose any arbitrator of its choice, including its own employees.

Having found such procedure unconscionable, the First Circuit did not invalidate the entire agreement. It rather demanded that Puerto Rico Court's determine whether the selection clause was severable from the rest of the agreement. On remand, the district court ultimately severed the invalidated selection provision and ordered the parties to meet and confer on selecting arbitrators.

Judicial precedents are focused on the following aspects:

1. Arbitration is a matter of contract therefore courts must recognize the party's right to appoint an arbitrator and to **choose an appointment mechanism of their choice**. However, party autonomy is not unbridled and therefore section 2 of the Federal Arbitration Act allows the court to invalidate an arbitration clause if it violates grounds that exist in equity for the revocation of a contract since unconscionability is a ground for invocation of contract on equity. It is also a ground for invalidating an arbitration agreement.
2. There is no uniform definition of unconscionability. However, courts have followed a palpable pattern where it can be categorized into two subsets:
 1. **Substantive Unconscionability** It refers to a condition where the terms of the contract are unreasonable and skewed in favour of one party such that it "*shocks the conscience*" of the Court. It focuses on the fairness of the terms themselves
 2. **Procedural Unconscionability** It refers to oppression of one party by the other *during the formation of contract*. It is concerned with the fairness of the process with which the terms of the agreement were created

International Scenario

Article 2(3) of the New York Convention requires that international arbitration agreements be enforced unless they are null, inoperative or incapable of being performed.

This also allows a court to invalidate an arbitration agreement on the basis of an internationally recognized contractual defense. Since unconscionability is recognized in most legal systems, it is logical to extend its ambit to international arbitration agreement.

Substantive unconscionability is more important in international as well as in domestic arbitration over procedural unconscionability.

Uber v. Heller

Heller was a driver for Uber and he brought a class action against Uber for violation of employment standards. However, as a condition to the employment, Heller had to agree to the services agreement by Uber. The dispute resolution clause under this agreement mandated that disputes be resolved through arbitration in the Netherlands. The class action was therefore sought to be stayed before the Canadian courts in favor of arbitration.

Supreme Court of Canada found the arbitration clause to be unconscionable since the claimant would never have a fair chance of resolving the dispute given the cost of initiating arbitration in the Netherlands. Thus, on the grounds of accessibility, it was held that a court **should not refer a challenge to an arbitrator's jurisdiction** if there is a real prospect that doing so would result in the (challenge never being resolved)

Unilateral Appointment

In *Trout*, it was found that the unilateral appointment by the WBO was unconscionable. It allowed WBO to act as both party and judge.

The Supreme Court's decision in *CORE II v. ECI* has finally settled the law on whether unilateral appointments are unconscionable.

CORE II v. ECI

Facts

The issue concerned the validity of arbitration clauses in government sector contracts, which allowed one party to unilaterally appoint arbitrators to control the composition of the arbitration tribunal.

The arbitration agreement in question involved a **three-member arbitration tribunal** and was structured in the following manner:

1. From a nominated list of four retired railway employees, the contractor could **select two as his choice of arbitrators**
2. From those selected by the contractor, GM was required to **select at least one** to constitute the final arbitration tribunal
3. The remaining members were to be appointed by the GM.

A previous decision of the Supreme Court in *CORE v. ECI* had found this mechanism to be valid since the right of the GM to form the tribunal was counterbalanced by the contractor's power to choose two out of the four names. The GM was responsible also to appoint at least one of them as the nominee of the contractor.

In this decision, the court relied on a catena of previous decisions where it was said that the seventh schedule read with section 12 did not put an embargo on retired government employees from serving as arbitrators and preemptively no bias or likelihood of bias could be attributed to such qualified persons.

However in **Tatia Constructions Limited** a three judge bench disagreed with the decision in *CORE* and referred it to a larger bench for reconsideration.

Decision

- Party autonomy is the brooding and guiding spirit of arbitration. However, it is not absolute. It is limited by the mandatory provisions of the Act such as Section 18 which require equal treatment and Section 12(5) which require independence and impartiality of the tribunal.
- It cannot be said that by participating in the arbitration process, the parties have waived their right to challenge the unconscionability of the appointment. Section 4 does not operate in these cases since only derogable provisions can be waived, mandatory provisions cannot. Section 18 and Section 12 are non-derogable.
- Arbitration is a quasi judicial function and tribunals have the trappings of a court, therefore they must act objectively and judicially
- Section 18 applies to all stages of the arbitration proceeding including aspects such as composition of tribunal
- The impartiality of tribunal and the equality of parties are concomitant principles. One cannot be guaranteed without the other.
- In the case of a sole arbitrator, if the person having a financial interest in the outcome of the proceeding nominates the sole arbitrator, it gives justifiable doubts to the independence of the tribunal and is therefore violatable of section 18

- The previous decisions in CORE mandate that the contractor select the arbitrator from the curated panel which is restrictive and the curation of the panel is exclusively undertaken by the GM. This is against the principle of equal treatment
- An amendment under section 12 was introduced in 2015. Clause 5 of Section 12 now contains a non-obstantee clause whereby notwithstanding prior agreement to the contrary, a person whose relationship falls within the Seventh Schedule shall be ineligible to be appointed as arbitrator.

Key US Precedents Discussed by the Court

The US position was also discussed extensively by the Supreme Court. Court relied on the principle of unconscionability and equity originally developed in the US to support their observation.

In **Hooters of America vs. Phillips**, the agreement allowed Hooters to create an exclusive list of arbitrators from which the employees arbitrator and the neutral arbitrator had to be selected. This gave Hooters control over the entire panel and created a system that was completely one-sided. On the basis of Section 2 of the Federal Arbitration Act the Court refused to enforce the agreement.